

Reserve Bank of India (Regional Rural Banks - Investment Portfolio and Liquidity) Directions, 2026

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In exercise of the powers conferred by Section 35A of the Banking Regulation Act, 1949, the Reserve Bank of India, being satisfied that it is necessary and expedient in the public interest to do so, hereby issues the Directions hereinafter specified.

Chapter I - Preliminary

A. Short Title and Commencement

1. These Directions shall be called the Reserve Bank of India (Regional Rural Banks - Investment Portfolio and Liquidity) Directions, 2026.
2. These Directions shall come into effect from October 01, 2026.

B. Applicability

3. These Directions shall be applicable to every Regional Rural Bank licensed to operate in India.

C. Definitions

4. For the purpose of these Directions, unless the context otherwise requires -
 - (1) 'Held to Maturity' or 'HTM' means the category of investments that the bank intends to hold till maturity.
 - (2) 'Total Investments' means the aggregate book value of all investments held by the bank across all categories.

Chapter II - Investment Portfolio Norms

5. An RRB's incremental investment in the Held to Maturity category, expressed as a percentage of its Total Investments, shall not exceed 25 per cent as at the close of business on any reporting Friday.
6. The single-broker transaction concentration for any RRB shall not exceed 5 per cent of the total value of investment transactions undertaken by the bank during a quarter.
7. Every RRB shall maintain a minimum Cash Reserve Ratio balance of not less than 90 per cent of the required CRR on a daily basis, as specified in paragraph 3.

Chapter III - Liquidity and Reporting

8. Every RRB shall submit its investment portfolio return within 15 business days from the end of each quarter.
9. The Board of the RRB shall review the investment policy at least once every financial year and shall ensure that adequate due diligence is exercised over investment counterparty selection.
10. The Board shall put in place a robust risk culture and effective monitoring mechanism for exposures arising from investment operations, in line with paragraphs 5 and 6.

Annex I: Reporting Format (Refer Paragraph 8)

This annex sets out the format for the quarterly investment portfolio return required under paragraph 8.